

provision to apply only to federal court proceedings.”.) *Coinbase* dealt with federal law and the holding would appear to apply only to federal courts.

Defendants also argue in the Reply that the holding in *Volt* has been limited by the subsequent decisions in *Mastrobuono v. Shearson Lehman Hutton*, 514 U.S. 52 (1995) and *Preston v. Ferrer*, 552 U.S. 346 (2008). Those cases are distinguishable as neither involved a provision, such as the one in the instant matter, that specifically states that any *arbitration proceeding* shall be determined pursuant to state law. Moreover, neither case dealt with a stay pending appeal of denial of a motion to compel arbitration. Additionally, the cases left intact the holding in *Volt* that when “the parties have agreed to abide by state rules of arbitration, enforcing those rules according to the terms of the agreement is fully consistent with the goals of the FAA.” (*Volt* at 479.)

Because the agreement here shows the parties agreed to apply California arbitration rules, the FAA’s procedural rules do not apply. The Court thus need not reach the issue of whether the FAA preempts section 1294(a).

The Court also finds a discretionary stay is not warranted. Code of Civil Procedure section 1294 gives courts the discretion to grant or deny a stay pending appeal. SB 365 was designed to “promote judicial efficiency by reducing the number of meritless appeals that are filed only to delay litigation.” (See California Bill Analysis, S.B. 365 Sen., 7/12/2023.) However, the legislature also recognized that if a judge denies a stay request, the parties will continue litigating the case and, for cases that are later ordered into arbitration by the appellate court, this “will result in courts and parties expending time and resources that have no impact on the final outcome of the case, straining already limited court resources.” (*Ibid.*)

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489.) “[W]hen deciding whether to grant or deny a stay, the court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side.” (*Alpha Media Resort Inv. Cases* (2019) 39 Cal.App.5th 1121, 1134 n.10, internal citations and quotations omitted.)

The Court finds the balance of hardships weighs in Plaintiffs’ favor. The potential prejudice to Plaintiffs due to further delay is apparent, as this action has already been pending for almost a year. Defendants failed to identify specific circumstances in this case that would justify a discretionary stay of this action. Although Defendants complain that, without a stay, they will be burdened by having to litigate this action and they will be deprived of the benefit of arbitration, this can be said of any order denying arbitration. In contrast, a stay would unfairly prejudice Plaintiffs’ right to promptly litigate their claims. Based on the foregoing, Defendants have failed to show a discretionary stay is warranted in this matter.